

25STCV09557 25STCV09557

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BACKGROUND

This case is an employment discrimination matter. Plaintiff Mauricio Gomez-Contreras was employed by Defendants Bodycote Thermal Processing Inc. and Innovative Resource Management. While working for Defendants, Plaintiff alleges that he was subject to unlawful discrimination and retaliation because of his disability.

On July 14, 2025, Plaintiff filed a first amended complaint ("FAC") against Defendants. The FAC alleges five employment-related causes of action stemming from the facts alleged above.

On August 26, 2025, the parties stipulated to submit Plaintiff's claim to arbitration and to stay court proceedings pending the arbitration. Accordingly, on the same day, the Court issued a Minute Order sending the case to arbitration and staying all proceedings.

On June 10, 2026, Plaintiff filed a Motion to Vacate Order Compelling Arbitration and to Lift Stay ("Motion").

On July 7, 2026, Defendants filed an opposition.

On July 13, 2026, Plaintiff filed a reply.

TENTATIVE RULING

Plaintiff's Motion to

Vacate Order is GRANTED. The stay is lifted and this matter shall resume under the Court's jurisdiction.

Defendants shall pay Plaintiff
fees and costs in the amount of \$23,611.10.

LEGAL STANDARD

“¿In an employment or consumer arbitration that requires . . . that the drafting party pay certain fees and costs during the pendency of an arbitration proceeding, if the fees or costs required to continue the arbitration proceeding are not paid within 30 days after the due date, the drafting party is in material breach of the arbitration agreement, is in default of the arbitration, and waives its right to compel the employee or consumer to proceed with that arbitration as a result of the material breach.” (Code Civ. Proc., § 1281.98, subd. (a)(1).) Accordingly, the employee then may withdraw their claims from arbitration and proceed in a court of appropriate jurisdiction. (Id. at subd. (b)(1).)

DISCUSSION

Here, Defendants do not oppose vacating the Court's August 26, 2025 Order compelling arbitration. (See Opposition, pp. 1:5-8, 14:23-24.) Rather, Plaintiffs dispute whether the Court should award Plaintiff any sanctions, fees, or costs. Therefore, the Court will focus its analysis on this specific issue.

I.
Sanctions,
Fees, and Costs

The Court will award
Plaintiff fees and costs as sanctions in the amount of \$23,6611.10.

If the drafting party waives its right to compel arbitration and an employee proceeds with an action in court, the court shall impose monetary sanctions on the drafting party. (Code Civ. Proc., § 1281.98, subd. (c)(2); id.

at § 1281.99, subd. (a).) The sanctions shall include attorney's fees and costs. (See id. at § 1281.99, subd. (a).)

Because Defendants do not oppose vacating the Court's August 26, 2025 Order, there is no dispute that they waived their rights to compel arbitration. Accordingly, the Court must award Plaintiff monetary sanctions, including fees and costs. (See Code Civ. Proc., § 1281.98, subd. (c)(2); id. at § 1281.99, subd. (a).)

Despite this, Defendants contend that monetary sanctions should not be awarded because their failure to timely pay all arbitration fees was the result of a good faith mistake, inadvertence, or other excusable neglect. (See Opposition, pp. 4:4-5:8, 11:19-12:12.) However, these factors are only considered when determining whether Defendants should be stripped of their rights to compel arbitration. (See *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, 323 ["[W]e find no indication that it intended to strip companies and employers of their contractual right to arbitration where nonpayment of fees results from a good faith mistake, inadvertence, or other excusable neglect."].) Here, Defendants waived their right to compel arbitration by not opposing to vacate the Court's August 26, 2025 Order. Therefore, whether Defendants' nonpayment was the result of a good faith mistake, inadvertence, or other excusable neglect is irrelevant; sanctions shall still be awarded. (See Code Civ. Proc., § 1281.98, subd. (c)(2); id. at § 1281.99, subd. (a).)

Accordingly, the Court must now determine whether the requested sanctions are reasonable.

A.
Reasonableness
of Requested Sanctions

Plaintiff requests \$36,361.10
in monetary sanctions.

Plaintiff's counsel, Jared Beilke, previously worked at an hourly rate of \$950/hour. (Beilke Decl., ¶ 13.) Beilke's current rate is now \$1000/hour. (Ibid.) Beilke claims they spent 17.3 hours on this case, amounting to a total of \$15,235. (Id. at ¶ 17, Exh. A.) However, Beilke is counting hours spent on work that was not related

to the arbitration proceedings or this Motion. Therefore, the Court will not award sanctions for hours before 2/1/2024. (See *id.* at Exh. A.) This reduces the total award amount for Beilke's hour worked to \$6,735. Beilke also anticipates spending an additional four hours on future work relating to this Motion, which would amount to \$4,000. The Court finds this to be excessive given Defendants did not oppose the primary relief sought in the motion. The Court will award an additional two hours for counsel Beilke; that is for one hour of work on the reply brief and one hour to appear at the hearing. Therefore, in total, the Court will award \$8,735 for Beilke's work.

Plaintiff's other counsel, Karina Godoy, previously worked at an hourly rate of \$650/hour. (Godoy Decl., ¶ 29.) Godoy's current rate is now \$750/hour. (*Id.* at ¶ 30.) Godoy claims they spent 17.6 hours on this case, amounting to total of \$12,950. (See *id.* at Exh. I.) All of Godoy's hours were spent on work that had utility towards the arbitration proceedings or this Motion. (See *ibid.*) Therefore, the Court will award the full \$12,950. Godoy also anticipates spending an additional five hours for future work relating to this Motion, which would amount to \$3750. The Court finds this excessive given Defendants did not oppose the primary relief sought in the motion. The Court will award an additional two hours of work on the reply brief as reasonable. Therefore, in total, the Court will award \$14,450 for Godoy's work.

When combining the amounts for Beilke's work, Godoy's work, and the additional \$426.10 in costs, the total amount comes to \$23,611.10.

CONCLUSION;

For the foregoing reasons, Plaintiff's Motion to Vacate Order is GRANTED. The stay is lifted and this matter shall resume under the Court's jurisdiction. The Status Conference re Arbitration set on August 26, 2026, at 8:30 a.m. shall now be set as a Case Management Conference.

Defendants shall pay monetary sanctions in the amount of \$23,611.10.